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TECH

Amazon's Profit Soars to Record

Tally for quarter tops \$2 billion with help of newer services businesses

By Laura Stevens

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Amazon's results in recent quarters have been boosted by a growing roster of high-margin businesses, offsetting its traditional retail business, which tends to yield lower margins although surging revenue. MIKE SEGAR/REUTERS

Amazon.com Inc.'s AMZN **3.97%** ▲ profit topped \$2 billion for the first time, powered by the company's newer services businesses that are ushering the online retail giant into an era of swelling profitability.

Fast-growing areas including the company's cloud-computing business, advertising offerings and services it provides to sellers on its site helped propel Amazon to its highest profit margin in years as executives said heavy investments are paying off. Those businesses have helped offset its traditional retail business, which tends to yield lower margins although still the bulk of its revenue.

The Seattle-based company on Thursday reported a second-quarter profit of \$2.53 billion, up from \$197 million a year earlier. That makes three straight quarters of profits over \$1 billion, and extends Amazon's profitability streak across three years. No longer is Amazon known for suffering losses or producing razor-thin income by plowing every dollar it makes back into investments. Still, other tech giants like Alphabet Inc. and Microsoft Corp. deliver much bigger profits.

"They're paying attention more to the investor community, where in the past they seemed more long-range focused," said Christian Magoon, chief executive of Amplify ETFs and portfolio manager for a fund whose investments include Amazon.

Amazon's blockbuster quarter contrasted with that of Facebook Inc., which late Wednesday signaled that its growth was slowing, sending its stock plunging 19% on Thursday. It was a reminder for investors that growth from tech's titans isn't always guaranteed.

Amazon faces its own challenges. President Trump earlier this week again tweeted a threat to the company, expressing his belief that Amazon takes advantage of the U.S. Postal Service, which he called its "delivery boy." And some members of Congress have expressed concern about Amazon's growing size and power. Many of the president's tweets have sent stocks down on fears of tougher regulation or even antitrust action.

None of that is slowing Amazon, though its quarterly revenue of \$52.89 billion did underwhelm Wall Street, coming in a bit below estimates even if up 39%. And its forecast third-quarter revenue of between \$54 billion and \$57.5 billion is also below analysts' consensus estimates.

But the star for the period was Amazon's profitability. Its operating margin was 5.6%, a big jump from last year's second quarter and the highest rate in more than a decade.

On a media call, finance chief Brian Olsavsky credited the profitability to a

combination of fiscal discipline and growth in the services businesses. “But it’s been more than that,” he said. “We’ve seen a greater-than-expected efficiency in a lot of our spend, in warehouses, in data centers and also in things like marketing.” The company has lowered head-count growth and spending, too. “It’s turning into a lot of operational efficiency,” Mr. Olsavsky said.

The results sent shares 3.2% higher in after-hours trading to \$1,866. Before the late-afternoon report, the stock was up 55% this year, and its market value hovered around \$860 billion. The only company worth more is Apple Inc., which is valued at about \$946 billion and is scheduled to report its quarterly results on Tuesday.

Amazon dominates e-commerce, and is now estimated to draw roughly half of every dollar spent online in the U.S. But its retail operation’s online-store growth is slowing—revenue rose 12% to \$27.17 billion, a smaller lift than in the past several quarters. The company has been looking elsewhere for expansion, pushing down the share of overall revenue from that segment stores to about half.

While Amazon sells many of the products consumers find on its website, millions of small businesses, retailers and manufacturers provide the rest. About 53% of products sold in the quarter were from independent merchants on the site, helping drive profitability.

The company collects roughly 15% on those sales. It also offers the chance for products to become eligible for Prime shipping via its network of warehouses for additional fees. That is typically cheaper than Amazon having to hold its own inventory.

Amazon’s acquisition of Whole Foods Market, completed in August, has added a new stream of revenue from physical outlets. Amazon reported \$4.31 billion in revenue from brick-and-mortar stores. In May, Amazon added Prime benefits to Whole Foods stores including 10% off discounted items and other special deals to juice sales.

Adding benefits like these also have allowed Amazon to raise the price of its Prime

membership, recently boosting it 20% to \$119 annually. More than 100 million Amazon users are now Prime members, which offers unlimited two-day shipping, video content and other perks, and helps foster loyalty for customers who typically spend twice the amount of a nonmember.

One of Amazon's biggest profit drivers, Amazon Web Services, kept up its pace of growth, reporting revenue grew 49% to \$6.1 billion. The division's revenue growth has accelerated three straight quarters after shrinking, despite stronger competition from rivals including Microsoft and Alphabet's Google in recent months. AWS offerings including machine learning, artificial intelligence and analytics have proven popular for customers, Mr. Olsavsky said.

Amazon also is taking some digital-advertising business, albeit small, away from Google and Facebook as brands advertise more on the online retailer's site. Amazon's advantage is that it can tell advertisers when a consumer bought a product, showing an ad's effectiveness. Amazon also is attracting spending that would have traditionally taken place in brick-and-mortar stores to ensure good shelf placement.

"Stepping back, it's now a multibillion-dollar business for us," Mr. Olsavsky said.

The hundreds of thousands of customers buying up ads include merchants and brands selling on the site, as well as authors and other advertisers who want to reach Amazon customers. The company is going to keep working on automating more of the process and inventing new products, too.

Amazon's "other" category, which is primarily derived from advertising, more than doubled from a year ago to \$2.19 billion.

"The amount of business they're doing creates room for quite a bit of investment," says Stephen Lee, founding principal of Logan Capital Management which holds the stock in one of its funds. "The numbers have gotten so large, even substantial investments aren't the hit to cash and profitability it used to be."

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